■ 4 Fits

PMF (product-market-fit)

Everyone knows you need to find PMF (product-market-fit).
Most likely, even people who use the term do not explain it correctly.
They will say something like “it is when a project finds its market.”

Let's understand why PMF is great, but not mandatory. And let's also review the remaining “fits” so you can show off your knowledge.
And of course, how to apply it.

There will be a lot of text, but understanding it is very important for your marketing to turn from “we will pour traffic” or “we will have organic traffic” into something meaningful.

Part 1: Why product-market fit is not enough

It is not just about a great product

The standard answer to almost any question in startups is “build a great product.” But building a great product is only part of the puzzle. There are great products that never reach $100 million+. There are also terrible products, by most people's definitions, that reach far more than $100 million. (For example, Workday, which at the time of writing is worth $20 billion.)

“Build a great product” cannot be the answer. It is a starting point, but not the answer.

The problem with that answer is that it leads to the product death cycle. Here are its phases:

1. Adding new features: The team adds new features.
2. Launch: The features launch with some press coverage.
3. Spike: A short-term growth spike occurs.
4. Growth levels off: After a few weeks, growth levels off.
5. Adding new features (repeat): The team goes back to where it started.

The growth curve looks something like this, and it is not the growth curve we are looking for.

It is not only about product-market fit

The second standard answer is Market Product Fit. Although it is an important component, it is far from the answer. The problem is that we have taken this mantra to the extreme and developed tunnel vision.

Statements like “Market Product Fit is the only thing that matters” have become normal. But that is not the only thing that matters.

There are many companies that have all the signals of product-market fit but still struggle to grow. The key point: Market Product Fit is not the only thing that matters.

It is definitely not growth hacking

Another common answer is “growth hacking.” This concept assumes there is some trick, secret, or hack that will unlock growth. The problem with such hacks is that they are not durable and are never sustainable.

Before tactics, you need a growth process. But before the growth process, you need a strategy. This structure is all about how you build your strategy.

What is the difference?

What is the difference between companies worth $100 million+ and those that struggle? The difference is that the first group managed to assemble four pieces of the puzzle. There are four main fits: Market Product Fit, Product Channel Fit, Channel Model Fit, and Model Market Fit.

There are three extremely important points:

1. You need to find four fits to grow to a $100 million+ business in a reasonable time.
2. Each of these fits affects the others, so you cannot think of them in isolation.
3. Fits always evolve, change, or break. When that happens, you cannot just change one element; you need to review and potentially change them all.

Part 2: The path to a $100 million business does not start with the product

Instead of repeating many excellent posts that explain Market Product Fit, we will focus on five elements that are most often misunderstood:

1. The wrong way to search for Market Product Fit.
2. Why we must think of it as “Market Product Fit” (market fitting the product).
3. How to define market and product hypotheses.
4. What the search looks like in reality, not theory.
5. Qualitative, quantitative, and intuitive signals of Market Product Fit.

A common mistake is to have a solution (product) that is looking for a problem and a market. In other words, putting the cart before the horse.

Instead, we should have focused on the problem and market first, and then looked for the solution. This common mistake is why the term “Market Product Fit” (market fit to product) is preferable to “Product Market Fit” (product fit to market).

The reason is that the real problem is what your market and audience experience, not what lives in your product. Language matters. The way we phrase things influences how we think about them.

Finding market-product fit the right way

Instead of focusing on the product first, concentrate on defining the market.

There are four key market elements to consider:

1. Category. What category does the customer place you in?
2. Who. Who is the target audience in that category?
3. Problems. What category-related problems does your target audience have?
4. Motivations. What motivates these problems?

Here is how these four elements roughly looked for HubSpot’s division:

Although most companies understand “category” and “who,” defining the problems and motivations behind them is far more important.

Based on that definition of problem and market, the team can start to think about the product (solution). That brings us to the next group of elements — product hypotheses. Four main elements:

1. Core value proposition. What is the product’s core value proposition? How does it relate to the main problem?

2. Hook. How can the core value proposition be expressed in the simplest terms?
3. Time to value. How quickly can the target audience experience value?
4. Stickiness. How and why will customers stay? What are the natural retention mechanics of the product?

These hypotheses are extremely important to articulate. They inform and deeply influence the other structure components, such as Channel and Model.

The reality of searching for market-product fit

In practice, the search for Market Product Fit is never a straight line. Instead, it occurs over several iterative cycles. You start with the market, build an initial version of the product, see who actually gets value, then redefine the market and redefine the product.

Often you discover many more target personas beyond your initial hypothesis.

Market-product fit is not binary

The iterative Market Product Fit cycle brings us to another key point:

Market Product Fit is not binary. It is also not a single point in time.

It is better to think of Market Product Fit as a spectrum from weak to strong.

When you present Market Product Fit as a binary concept, you imply that your market and product components do not change. We know in practice that this is far from true.

There are two main ways the market changes for a startup.

1. MARKET DEFINITION EXPANDS. Most startups start with a very niche market and expand their definition outward to larger markets. To expand into those layers, the product typically has to change to maintain the strength of Market Product Fit.

2. THE MARKET EVOLVES. At the same time, markets do not stand still. That means markets where you have strong Market Product Fit will evolve

over time. For example, the shift from web to mobile.

Signals of Market Product Fit

If Market Product Fit is not binary, how do you know whether you have it? Almost everything requires combining qualitative measures with quantitative measures and your own intuition.

1. QUALITATIVE. The usual starting point is qualitative indicators. To get qualitative insight, use loyalty surveys. If you are truly solving the customer’s problem, they should be willing to recommend your product to a friend.

2. QUANTITATIVE. There are two quantitative measures: retention curves and direct traffic.

Flat retention curves indicate Market Product Fit. For 80% of products, flat retention curves are what you are looking for.

The second quantitative signal is direct traffic. Direct traffic is usually a result of word-of-mouth.

Together, these mean that a product with Market Product Fit will grow naturally without additional effort.

3. INTUITION. Intuition is an internal gut feel. It is hard to intuit whether you have Market Product Fit if you have not been in different situations. The point is that when you have strong Market Product Fit, it feels like the market pulls you forward rather than you pushing the market.

Key takeaways

- Start with the market (problem), then the product (solution). Not the other way around.
- Define your market hypothesis (Category, Who, Problems, Motivations).
- Define your product hypothesis (Core value proposition, Hook, Time to value, Stickiness).
- Think of Market Product Fit as a cycle.
- Understand that Market Product Fit is not binary. It is a spectrum.
- To know whether you have Market Product Fit, combine qualitative, quantitative, and intuitive indicators.

Part 3: Product-channel fit will make or break your growth strategy

A common belief is: “We are focused on Market Product Fit now. Once we get it, we will test a bunch of different channels.”

There are two serious problems with that statement.

1. Products are built to fit channels, not the other way around.

The first problem with that statement is that you think about product and channel separately, in isolation. But if you think that way, you will end up trying to fit a square peg into a round hole. Why? Because...

Products are built to fit channels. Channels do not adapt to products.

The reason is that you do not define the rules of the channel. The channel defines the rules of the channel.

- Facebook defines what content appears in people’s feeds.
- Google defines what content appears in the top ten search results.
- Email clients define what counts as spam.

You control your product; you do not control the channel. Therefore, you need to change what is within your control to fit what you do not control.

What are the common product attributes that match different channel categories?

- Virality needs:
- Fast time to value. Viral loops must be short.
- A broad value proposition.
- A network that makes the product better.

- Paid marketing needs:
- Fast time to value. Users have less patience.
- A medium-to-broad value proposition.

- Transactional models need:
- A product that extracts value to fund marketing.

- UGC SEO needs:
- User-generated content. The product should allow users to create

millions of pieces of unique content.
- Motivations for participation.

2. The power law of distribution

The second problem with “we will test a bunch of different channels” is this: in his book Zero to One, Peter Thiel explained why this is wrong: “Most companies do not get even one working distribution channel. If you get at least one channel to work, you have a great business... Distribution obeys a power law.”

In other words, at any given time, a company with Product Channel Fit will get 70%+ of its growth from one channel.

If you look at most $100 million+ companies:

- UGC SEO: TripAdvisor, Yelp, Glassdoor — all got 70% of their growth from here.
- Virality: WhatsApp, Evernote, Dropbox — all got 70%+ of their growth from here.
- Paid marketing: Supercell, Squarespace, Blue Apron — all got 70%+ of their growth from here.

Product Channel Fit is when the attributes of your product are shaped to match a specific distribution channel. As a result, you cannot think about Product and Channel in isolation.

This has several direct consequences:

1. You should not use a “shotgun approach” to channel testing. It is better to prioritize and focus on one or two channels at a time.
2. You should not try to diversify channels for the sake of diversification.
3. Product and growth teams should not work in isolation from each other.

Product Channel Fit is your blessing and your curse

Your strength is also your greatest weakness. Product Channel Fit can build your company, and it can also kill it.

The reason is that Product Channel Fit (like all other fits) always evolves and can break.

1. New channels appear. From time to time, a new major channel emerges in the ecosystem. When this happens:

- Companies from the old channel try to copy-and-paste their product into the new channel.
- Because of Product Channel Fit, that does not work and it leaves the door open for new companies.

There is no brighter example than the gaming industry. In the early 2000s, web portals were the main channel (for example, PopCap). Then in 2007, social networks became the new channel (for example, Zynga). Old companies tried to copy-and-paste their games, and it did not work. Then mobile devices appeared. Zynga tried to copy-and-paste its games, and it did not work. The door opened for companies like Supercell.

This is worth repeating: products must be adapted to the channel. The channel does not adapt to the product.

2. Old channels die. At the end of 2011, Pinterest's growth began to soar. One reason was that they achieved Product Channel Fit with Facebook (viral sharing via API). But around late 2012, Facebook began closing those APIs.

This is an example of having Product Channel Fit but it breaking. Pinterest was one of the few companies that successfully transitioned. They moved to UGC SEO, which has driven their growth since. Part of that transition was Pinterest shifting its product focus from social to personal utility. Again, you must adapt the product to the channel.

Part 4: Get out of the danger zone with Channel Model Fit

Channel Model Fit is simple: channels are determined by your model.

First, what is meant by "model"? The two most important elements of your model are:

1. How you charge — for example, free (ad-supported), freemium, transactional, trial, etc.
2. Average revenue per user — how much money you get from a

customer each year.

Why average annual revenue, not lifetime value? Because most startups need payback in under one year. If it is much longer, you will need a lot more money to finance growth.

The ARPU ↔ CAC spectrum

Every business lives on the spectrum between ARPU (average revenue per user) and CAC (customer acquisition cost).

- On the left end (low ARPU) are businesses forced to use low-CAC channels. Most consumer ad-based businesses (Facebook, Yelp) live here. They use virality and UGC SEO.
- One step to the right are businesses with slightly higher ARPU (for example, subscription commerce like Dollar Shave Club). Because they have higher ARPU, they can use channels with higher CAC, such as paid marketing.
- Further right are businesses with higher ARPU (typically B2B mid-market), such as HubSpot. They can use high-CAC channels like content marketing or inside sales.
- At the far right are businesses with very high ARPU (6-7 figures). They use very high CAC channels such as enterprise and outbound sales (for example, Palantir).

The ARPU-CAC danger zone

The middle of the spectrum is empty. This is the Danger Zone.

Companies that land in this zone have a much higher failure rate because they lack Channel Model Fit. There are two reasons:

1. Too much friction for low-CAC channels. Low-CAC channels require low-friction products. Companies in the danger zone have ARPU that is too high and creates too much friction (for example, a $500 price) for an impulse purchase via simple advertising.

2. ARPU does not support higher-CAC channels. Companies in the danger zone also have ARPU that is too low to support higher-CAC channels (like content marketing or a sales team). These companies end up with terrible unit economics.

Can companies exist in the danger zone?

The danger zone does not mean a business cannot exist there. But your acquisition strategy ultimately becomes a patchwork of many small channels instead of owning one. Stitching together many small channels is much harder.

Takeaways from Channel Model Fit

There are two main takeaways:

1. Do not consider model and channel in isolation. If your channel is defined by your model, but your product is built to fit the channel — you see where I'm going? This is why you cannot treat these fits separately.

Part 5: The Model Market Fit threshold and what it means for your growth strategy

Model Market Fit

Model Market Fit is the concept that your market (and the number of customers in that market) impacts your model.

This concept can be broken into five main business types:

- Elephants — 1,000 customers paying $100,000+ per year. (Enterprise clients.)
- Moose — 10,000 customers paying $10,000+ per year. (Mid-market.)
- Rabbits — 100,000 customers paying $1,000 per year. (Small business or high-end consumer purchases.)
- Mice — 1,000,000 customers paying $100 per year. (Power users or subscription commerce.)
- Flies — 10,000,000 customers paying $10 per year (usually ad-supported).

We can draw a line through this relationship. This is called the Model Market Fit Threshold.

If your business sits above that threshold, you have Model Market Fit. If you are below the threshold, you do not.

How do you know if you have Model Market Fit?

Your hypothesis for Model Market Fit revolves around simple math:

ARPU x total customers in the market x % you believe you can capture >= $100 million

This may seem simple, but many teams do not do it. Each variable in this equation has assumptions:

Total customers in the market. First, define your target market. Research how many target customers fit those criteria. If this number is too small, you can expand the criteria, but then you need to go back to Market Product Fit.

ARPU (average revenue per user). After defining the market, research willingness to pay. If it is too low, consider increasing prices. But if you raise prices, you must ensure Channel Model Fit still holds.

% you can capture. This variable is probably the hardest to forecast. It is easy to overestimate the percentage you think you can capture.

What should you do with this?

Describe how you see Market Product Fit, Product Channel Fit, Channel Model Fit, and Model Market Fit.

Answer the following questions:

1. What is the #1 problem you solve?
2. Why do customers urgently need a solution?
3. Why will they stay for the long term?
4. What one channel can currently deliver 70%+ of your growth?
5. Why is your product perfect for that channel?
6. Is your model (ARPU) viable at your channel cost (CAC)?
7. Where is your weakest link?

- Describe which of the 4 fits is currently “broken” or missing.
- Example: “We have Market-Product Fit (Step 1) and Model-Market Fit (Step 4), but we are stuck in the ‘Danger Zone’ (Step 3) because our Channel-Model Fit is broken.”

8. Change hypothesis:

- What one change in one element (Market, Product, Channel, or Model) should you test first?
- Change the Market (Who/Problem)

- Change the Product (Value/Hook)
- Change the Channel (Find a new dominant one)
- Change the Model (ARPU/Pricing)

9. What one, riskiest hypothesis from your audit must prove true for your entire growth machine (all 4 fits) to work at full strength?